

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.81 ▼ 0.39%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.83B
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BBAI: Stuck Near 52-Week Lows, Waiting For Catalyst

WHAT'S CHANGED

- Not much happened overnight — stock drifted down another 0.4% to \$3.82, basically flat. It's now sitting at just 13% of its 52-week range, meaning it's much closer to its yearly low (\$3.01) than its high (\$9.39).
- The Zacks coverage has been mixed-to-negative all week — flagging "rich valuation" and "rising SG&A expenses" (that's selling, general & administrative costs — basically overhead like salaries and office expenses that aren't directly tied to making revenue).

IMPLICATIONS

BBAI is in no-man's-land right now. The stock has bled out from \$9+ down to under \$4, and there's no fresh news to spark a recovery — no SEC filings, no contract wins, just slow drift. The one bright spot is options flow: traders are buying roughly 3x more calls than puts (bullish bets vs. bearish bets), so somebody out there is betting on a bounce. But without a real catalyst, this thing could just keep grinding sideways.

VALUATION

At a \$1.83B market cap on roughly \$195M of expected revenue, investors are paying about \$9-10 for every \$1 of sales — that's still pricey for a company losing money, but way cheaper than it was at the \$9 peak (where it was ~25x revenue). Compared to bigger AI defense plays like Palantir trading at ~50x sales, BBAI looks "cheap," but cheap can stay cheap for a long time without profits. Base case I see modest upside to \$4.50-5.00 over 6-12 months; bear case is a retest of \$3.

KEY RISKS

- They're not profitable and burning cash — at some point they'll likely need to raise money by selling more shares, which dilutes existing holders (your slice of the pie gets smaller).
- The CFO sold \$43K of stock last month. Not huge, but insiders haven't bought a single share — when management isn't putting their own money in, it's a yellow flag.
- Government contract concentration: a chunk of revenue depends on Department of Defense and intel agency deals, so any budget cuts or losing a re-compete bid can crater a quarter.

RECENT NEWS

Here's Why BigBear.ai Holdings, Inc. (BBAI) Fell More Than Broader Market Zacks · 2026-06-22 22:15

Can BigBear.ai Balance Rapid AI Innovation With Rising SG&A Expenses? Zacks · 2026-06-19 14:23

Key Data

Price (USD)	\$3.81
12M Price Target	\$4.50
Upside / (Downside)	+18.1%
Market Cap	\$1.83B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.50	\$3.90	\$3.20
6 Months	\$5.75	\$4.50	\$2.80
1 Year	\$7.50	\$5.00	\$2.50
2 Years	\$10.00	\$6.00	\$2.00
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HEATING UP: Consumer Staples, Real Estate, Healthcare, Utilities — classic defensive stuff (boring, safe sectors people buy when they're nervous).

COOLING OFF: Communication Services got hammered -4% on the week.

ROTATION WATCH: Money is moving OUT of growth/tech and INTO defensive names like utilities and staples. That's risk-off behavior — investors are getting cautious, which is bad news for speculative AI names like BBAI that need risk appetite to work.

RELATED PLAY: If defense AI is your thesis, Palantir (PLTR) is the bigger, profitable version of this trade. Kratos (KTOS) and AeroVironment (AVAV) are also riding the defense-tech wave with actual earnings.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): The 800-pound gorilla in defense AI — actually profitable and consistently winning the contracts BBAI wishes it had.
- KTOS (Kratos Defense): Drones and defense systems are getting big DoD budget allocations, and they're growing without burning cash.

BBAI CONTEXT: BBAI is lagging hard. While defense-tech peers have been strong, BBAI sits near its 52-week low. That tells you the market sees execution problems here, not just a sector-wide pullback.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative)

Entry Points: \$3.20-3.50 on further weakness

Time Horizon: 12-24 months

Thesis Invalidation: Major contract loss, capital raise at deep discount, or revenue growth slowing below 20%

Hedging: Buy protective puts or pair with a profitable AI name like PLTR